Nehru saw pacts as provocative. He believed that the World Wars had demonstrated that pacts did more to exacerbate conflict than to prevent it. Furthermore, entangling alliances restricted freedom of action. Not everyone shared this perspective. His sister, Pandit, believed that at the very least, "inevitably one finds oneself aligned on one side or the other."[39] Nehru had expressed interest in developing a "regional understanding *on a broad basis*" with Australia, New Zealand, and Southeast Asia.[40] But he had no desire to include India in any grouping *based on anticommunism*. It was important for India to leave the door open to "normal friendly relations" with the Chinese communists. And any suggestion of Indian participation in an anticommunist grouping could "only rouse suspicion and hostility of new China."[41] Panikkar encouraged this approach, noting that Nehru's refusal to join the pact had somewhat reduced hostility against India among the communist Chinese, who had been accusing Nehru of being complicit in US policy toward Asia.[42]

Nehru had no interest in a pact, but he welcomed the other option American policymakers were considering to support India vis-à-vis China: economic assistance. He perceived India's main vulnerability as internal, its primary challenge as economic.[43] If his government did not solve this problem "effectively and fairly rapidly," it would threaten both India's stability and its political system.[44]

Developments in China had been instructive; they did not leave Nehru unaffected as some have argued.[45] He felt that, "in Asia at any rate, communism flourished only where the economic standards of the people were indefensibly low"[46] and where governments "could not deliver the goods."[47] In China, the GMD had failed to deliver and lost the faith of the people.[48] There were communists in India too, who were susceptible to external influence and seeking to "create trouble in every direction."[49] The crackdown Nehru approved against them was only part of the solution; his government had to show results. Patel, too, stressed the importance of India preventing its own China-like situation from developing.[50]

Nehru and Patel realized that their government could not deliver alone. Rapid and efficient development required foreign assistance, which the government welcomed despite some domestic opposition.[51] For this, Patel thought one country was key, saying to Nehru, "we have to depend on the USA for our progress." The prime minister thought developments vis-à-vis